

A business model is a company's core strategy for creating, delivering, and capturing value to generate profit. It outlines how a company operates, including its product offering, target market, and revenue sources. Common models include subscriptions, advertising-based, franchising, and manufacturing.

Key Components of a Business Model

- **Value Proposition:** What products or services are offered and why.
- **Target Market:** Who the customers are.
- **Distribution Strategy:** How the product reaches the customer.
- **Revenue Streams:** How the company makes money (pricing, payment methods).

Common Types of Business Models

- **Subscription:** Customers pay a recurring fee for access to a service (e.g., Netflix, Spotify).
- **Freemium:** Basic services are free, with charges for advanced features (e.g., LinkedIn).
- **Marketplace:** Platforms that connect buyers and sellers (e.g., eBay, Airbnb).
- **Manufacturer:** Creating products from raw materials to sell to customers or retailers.
- **Franchise:** Allowing third parties to operate under an established brand (e.g., McDonald's).
- **Advertising-Based:** Providing free content while generating revenue through ads (e.g., Google, Facebook).
- **Direct-to-Consumer (DTC):** Selling directly to the end user, bypassing intermediaries.

Key Considerations

- **Profitability:** Good models focus on high margins and predictable cash flow.
- **Scalability:** The ability to grow without being hindered by cost structure.
- **Innovation:** New models can create competitive advantage in established industries

2.0 Business Model: Definition and 13 Examples

Definition

A company's business model is a plan that outlines what it will do to create and deliver value to customers, with the goal of generating profit.

Key Takeaways

- A business model explains how a company creates, delivers, and captures value while generating profit.
- It typically identifies a company's products or services, target customers, revenue sources, and cost structure.
- Businesses may use different models—such as retail, subscription, marketplace, franchise, or freemium—to generate revenue.
- Successful companies regularly adapt their business models to respond to market changes, competition, and customer demand.
- Investors often analyze a company's profit margins, cash flow, and revenue growth to evaluate whether its business model is sustainable.

What Is a Business Model?

A business model identifies the products or services the business plans to sell, the target market, and any anticipated expenses, in order to outline how to generate a profit. Business models are important for both new and established businesses. They help companies attract investment, recruit talent, and motivate management and staff.

Businesses should regularly update their business model, or they'll fail to anticipate trends and challenges ahead. Business models also help investors to evaluate companies that interest them and employees to understand the future of a company they may aspire to join.

Understanding Business Models

A business model is a high-level plan for profitably operating a business in a specific marketplace. This plan helps the company to identify the best approach for conducting business while also serving to attract investors and talent.

A primary component of the business model is the value proposition. This is a description of the goods or services that a company offers and why they are desirable to customers or clients; it should ideally be stated in a way that differentiates the product or service from its competitors.

A new enterprise's business model should also cover projected startup costs and financing sources, the target customer base for the business, marketing strategy, a review of the competition, and projections of revenues and expenses. The plan may also define opportunities in which the business can partner with other established companies. For example, the business model for an advertising business may identify benefits from an arrangement for referrals to and from a printing company.

Successful businesses have business models that allow them to fulfill client needs at a competitive price and a sustainable cost. And they are subject to change. Many businesses revise their business models periodically to reflect changing business environments and market demand.

Types of Business Models

There is no single type of business model because no company is the same, and each has different ways of generating revenue. Thus, business models can vary considerably. An aerospace company, such as Boeing, may operate similarly to a peer, like Airbus, but won't share much in common in terms of how it generates revenue with, say, a shoe store or a bar.

Direct sales, franchising, advertising-based, and [brick-and-mortar](#) stores are all examples of traditional business models. There are also hybrid models, such as businesses that combine internet retail with brick-and-mortar stores or with sports organizations like the NBA.

Below are 13 common types of business models; note that the examples given may fall into multiple categories.

Retailer

One of the more common business models most people interact with regularly is the [retailer](#) model. A retailer is the last entity along a supply chain. They often buy finished goods from manufacturers or distributors and interface directly with customers.

Example: Costco Wholesale

Manufacturer

A [manufacturer](#) is responsible for sourcing raw materials and producing finished products by leveraging internal labor, machinery, and equipment. A manufacturer may make custom goods or highly replicated, mass-produced products and can sell what it makes to distributors, retailers, or directly to customers.

Example: Ford Motor Company

Fee-for-Service

Instead of selling products, fee-for-service business models are centered around labor and providing services. A fee-for-service business model may charge an hourly rate or a fixed cost for a specific agreement. Fee-for-service companies are often specialized, offering insight that may not be common knowledge or may require specific training.

Example: DLA Piper LLP

Subscription

[Subscription-based business models](#) strive to attract clients in the hope of luring them into becoming long-term, loyal patrons. This is done by offering a product that requires ongoing payment, usually in return for a fixed duration. Although primarily offered by digital companies for access to software, subscription business models are also popular for physical goods, such as monthly recurring agriculture or produce subscription box deliveries.

Example: Spotify

Freemium

[Freemium](#) business models attract customers by introducing them to basic, limited-scope products. Then, with the client using their service, the company attempts to convert them to a more premium, advance product that requires payment. Although a customer may theoretically stay on freemium forever, a company tries to show the benefit of becoming an upgraded member.

Example: LinkedIn/LinkedIn Premium

Fast Fact

Some companies can use multiple business model types at the same time for the same product. For example, Spotify (a subscription-based model) also offers a free version and a premium version.

Bundling

If a company is concerned about the cost of attracting a single customer, it may attempt to bundle products to sell multiple goods to a single client. [Bundling](#) capitalizes on existing customers by attempting to sell them different products. This can be incentivized by offering pricing discounts for buying multiple products.

Example: AT&T

Marketplace

Marketplaces receive compensation for hosting a platform for business to be conducted. Although transactions could occur without a marketplace, this business model attempts to make transacting easier, safer, and faster.

Example: eBay

Affiliate

[Affiliate business models](#) are based on marketing and the broad reach of a specific entity or person's platform. Companies pay an entity to promote a good, and that entity often receives compensation in exchange for its promotion. That compensation may be a fixed payment, a percentage of sales derived from their promotion, or both.

Example: Social media influencers such as Lele Pons, Zach King, or Chiara Ferragni

Razor Blade

Aptly named after the product that invented the model, this business model aims to sell a durable product below cost to then generate high-margin sales of a disposable component needed to use that product. Also referred to as the "[razor and blade model](#)," razor blade companies may give away expensive blade handles with the premise that consumers need to continually buy razor blades in the long run.

Example: HP (printers and ink)

Fast Fact

"Tying" is an illegal razor blade model strategy that requires the purchase of an unrelated good prior to being able to buy a different (and often required) good. For example, imagine Gillette released a line of

lotion and required all customers to buy three bottles before they were allowed to purchase disposable razor blades.¹

Reverse Razor Blade

Instead of relying on high-margin companion products, a reverse razor blade business model tries to sell a high-margin product upfront. Then, to use the product, low or free companion products are provided. This model aims to promote that upfront sale, as further use of the product is not highly profitable.

Example: Apple (iPhones + applications)

Franchise

The franchise business model leverages existing business plans to expand and reproduce a company at a different location. Often food, hardware, or fitness companies, franchisers work with incoming franchisees to finance the business, promote the new location, and oversee operations. In return, the franchisor receives a percentage of earnings from the franchisee.

Example: Domino's Pizza

Pay-as-You-Go

Instead of charging a fixed fee, some companies may implement a pay-as-you-go business model where the amount charged depends on how much of the product or service is used. The company may charge a fixed fee for offering the service in addition to an amount that changes each month based on what was consumed.

Example: Utility companies

Brokerage

A brokerage business model connects buyers and sellers without directly selling a good themselves. Brokerage companies often receive a percentage of the amount paid when a deal is finalized. Most common in real estate, brokers are also prominent in construction/development and freight.

Example: Re/Max

Evaluating Successful Business Models

A common mistake many companies make when they create their business models is to underestimate the costs of funding the business until it becomes profitable. Counting costs up to the introduction of a product is not enough. A company has to keep the business running until its revenues exceed its expenses.

One way analysts and investors evaluate the success of a business model is by looking at the company's gross profit. Gross profit is a company's total revenue minus the [cost of goods sold \(COGS\)](#). Comparing a company's gross profit margin to that of its main competitor or its industry sheds light on the efficiency and effectiveness of its business model. Gross profit alone can be misleading, however. Analysts also want to see cash flow or net income—that is, gross profit minus operating expenses, which is an indication of just how much real profit the business is generating.

The two primary levers of a company's business model are pricing and costs. A company can raise prices, and it can find inventory at reduced costs. Both actions increase gross profit.

Many analysts consider gross profit to be more important in evaluating a business plan. A good gross profit suggests a sound business plan. In that case, if expenses are out of control, the management team could be at fault, and the problems are correctable. As this suggests, many analysts believe companies that run on the best business models can run themselves.

Important

When evaluating a company as a possible investment, find out exactly how it makes its money—not just what it sells, but how it sells it. That's the company's business model.

Investors and Business Models

When evaluating a company as a possible investment, the investor should find out exactly how it makes its money. This means looking through the company's business model. Fortunately, it's not hard to find. Most companies outline their business model on their website and in their [annual reports](#).

Admittedly, the business model may not tell you everything about a company's prospects. Investors need to fill in the blanks, look beyond the sales pitch, and recognize that sensitive information or any flouting of the rules of ethics to gain an advantage won't be mentioned. The investor who understands the business model, even on a basic level, can make better sense of the financial data.

How to Create a Business Model

There is no "one size fits all" when making a business model. Different professionals may suggest taking different steps when creating a business and planning your business model. Here are some broad steps you can take to create a plan:

1. **Identify your audience:** Most business model plans will start with defining a problem you're trying to solve and identifying your audience and [target market](#). A strong business model will reflect who you are trying to target, so you can craft your product, messaging, and approach to connecting with that audience.
2. **Define the problem:** In addition to understanding your audience, you must know what problem you are trying to solve. A hardware company sells products for home repairs. A restaurant feeds the community. Without a problem or a need that creates demand for your services or products, your business may struggle to find its footing.
3. **Understand your offerings:** With your audience and problem in mind, consider what you are able to offer. What products are you interested in selling, and how does your expertise match that product? In this stage of the business model, the product is tweaked to adapt to what the market needs and what you're able to provide.
4. **Document your needs:** With your product selected, consider the hurdles your company will face. This includes product-specific challenges as well as operational difficulties. Make sure to document each of these needs to assess whether you are ready to launch in the future.

5. **Find key partners:** Most businesses will leverage other partners in driving company success. For example, a wedding planner may forge relationships with venues, caterers, florists, and tailors to enhance their offering. If you're a manufacturer, consider who will provide your materials and how critical your relationship with that provider will be.
6. **Set monetization solutions:** A business model isn't complete until it identifies how the company will make money and turn a profit. This includes selecting the strategy or strategies laid out in the business model types section above.
7. **Test your model:** When your full plan is in place, perform test surveys or soft launches. Ask how people would feel paying your prices for your services. Offer discounts to new customers in exchange for reviews and feedback. You can always adjust your business model, but you should always consider leveraging direct feedback from the market when doing so.

Tip

Instead of reinventing the wheel, consider what competing companies are doing and how you can position yourself in the market. You may be able to easily spot gaps in the business model of others.

Criticism of Business Models

Joan Magretta, the former editor of the *Harvard Business Review*, suggested that there are two critical factors in evaluating business models. When business models don't work, she states, it's because the story doesn't make sense and/or the numbers just don't add up to profits.²

Complicated business models can put off investors and hinder a company's growth. People are less eager to invest in a company they don't understand. Moreover, some business models can be less profitable and at risk of being compromised. What works one year isn't guaranteed to continue doing so in the future.

Take the airline industry. For years, major carriers such as American Airlines, Delta, and Continental built their businesses around a [hub-and-spoke structure](#), in which all flights were routed through a handful of major airports. By ensuring that most seats were filled most of the time, the business model produced big profits.

However, a competing business model arose that made the strength of the major carriers a burden. Carriers like Southwest and JetBlue shuttled planes between smaller airports at a lower cost. They avoided some of the operational inefficiencies of the hub-and-spoke model while forcing [labor costs](#) down. That allowed them to cut prices, increasing demand for short flights between cities.

As these newer competitors drew more customers away, the old carriers were left to support their large, extended networks with fewer passengers. The problem became even worse when traffic fell sharply following the September 11 terrorist attacks in 2001.³ To fill seats, these airlines had to offer more discounts at even deeper levels. The hub-and-spoke business model no longer made sense.

Example of Business Models

Consider the vast portfolio of Microsoft. Over the past several decades, the company has expanded its product line across digital services, software, gaming, and more. Various business models, all within Microsoft, include but are not limited to:

- **Productivity and business processes:** Microsoft offers subscriptions to Office products and LinkedIn. These subscriptions may be based on product usage (i.e., the amount of data being uploaded to SharePoint).
- **Intelligent cloud:** Microsoft offers server products and cloud services for a subscription.
- **Personal computing:** Microsoft sells the Windows operating system as well as physically manufactured products such as Surface, PC components, and Xbox hardware. Residual Xbox sales include content, services, subscriptions, royalties, and advertising revenue.⁴

What Is the Most Common Business Model?

Retailer is probably the most common business model in the U.S. today. This model is also one of the most competitive. Best Buy, Target, and Walmart are some of the largest examples of retail companies. These companies acquire goods from manufacturers or distributors to sell directly to the public, in physical stores and/or online. Retailers interface with their clients and sell goods, although they may or may not manufacture the goods they sell.

What Is the Best Business Model?

What's best depends on numerous factors, including what you are selling, where, and, most importantly, the competitive environment. A company built on a good business model of almost any type can create virtuous cycles that result in a competitive advantage.⁵

How Do I Build a Business Model?

There are many steps to building a business model, and no single, consistent process exists among business experts. In general, a business model should identify your customers, understand the problem you are trying to solve, select a business model type to determine how your clients will buy your product, and determine the ways your company will make money. It is also important to periodically review your business model; once you've launched, evaluate your plan and adjust your target audience, product line, or pricing as needed.

The Bottom Line

A company isn't just an entity that sells goods. It's an ecosystem that must have a plan on who to sell to, what to sell, what to charge, and what value it is creating. A business model describes what an organization does to make a profit. After building a business model, a company should have a stronger direction on how it wants to operate and what its financial future appears to be.

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3.0 ENTREPRENEURIAL OPPORTUNITIES AVAILABLE IN INFORMATION TECHNOLOGY

Entrepreneurial opportunities in information technology (IT) are abundant, driven by digital transformation, high demand for security, and AI innovation. Key areas for startups include cybersecurity services, software development, data analytics, artificial intelligence, e-commerce platforms, and IT consultancy. These opportunities empower entrepreneurs to create innovative solutions that improve efficiency and solve complex problems.

High-Potential IT Entrepreneurial Areas:

- **Cybersecurity Services:** With a chronic talent shortage and high demand, businesses are desperately seeking expertise to secure their networks and data against breaches.
- **Software and App Development:** Developing specialized SaaS products, mobile applications, or customized software solutions for specific industry niches.
- **Artificial Intelligence (AI) and Machine Learning:** Creating intelligent software or machines that can automate tasks, analyze data, and assist in business decision-making.
- **Data Analytics and Services:** Providing data storage, analysis, and management services, especially for large datasets.
- **IT Consultancy:** Offering expert advice to growing firms on setting up IT infrastructure, digital transformation, and managing technical systems.
- **E-commerce and Digital Marketing:** Building platforms for online retail, specialized marketplaces, or digital marketing services for small businesses.
- **Cloud Computing and Network Management:** Providing cloud solutions and managing network infrastructure for remote-enabled workplaces.
- **EdTech and IT Training Centers:** Establishing training centers to meet the high demand for digital literacy and technical skills.

3.1 Key Drivers and Trends:

- **Remote Work Infrastructure:** Creating tools that support decentralized teams and secure remote access.
- **Blockchain Technology:** Exploring new applications in finance, healthcare, and supply chain management to improve security and efficiency.
- **Internet of Things (IoT):** Utilizing connected devices for smart home, city infrastructure, and industrial applications.

These opportunities are supported by the ability to operate as "netpreneurs," using the internet as the primary business platform for selling, servicing, and marketing

4.0 BUSINESS PLAN AND BUSINESS STARTUP PROCESS

A successful business startup involves creating a structured plan—covering market analysis, management, and financial projections—and executing steps like legal registration and funding. Key

components include an executive summary, company description, products/services, marketing strategy, and a financial plan (3-5 year projections) to guide growth and secure funding.

4.1 Key Components of a Business Plan

- **Executive Summary**: A concise overview of your business, mission, product, and financial highlights.
- **Company Description**: Outlines your business goals, target audience, and competitive advantages.
- **Market Analysis & Research**: Details industry trends, target market, and competitive analysis (SWOT/Porter's five forces).
- **Products/Services**: Describes what you sell, the value proposition, and the problem it solves.
- **Marketing & Sales Strategy**: Outlines the 4 Ps (Product, Price, Place, Promotion) to attract customers.
- **Management Team**: Highlights key members' skills, experience, and structure.
- **Financial Projections**: Includes 3-5 year income statements, cash flow, and break-even analysis.

4.2 Business Startup Process Steps

1. **Refine Your Idea**: Define your business purpose, target market, and long-term goals.
2. **Conduct Market Research**: Validate demand and analyze competitors to find a competitive advantage.
3. **Write a Business Plan**: Use a traditional or lean startup approach to map out your strategy.
4. **Assess Finances**: Calculate startup costs (production, marketing, admin) and plan for funding.
5. **Secure Funding**: Explore loans, investors, savings, or friends/family.
6. **Establish Legal Structure**: Choose a structure (LLC, corporation, etc.) and register your business.
7. **Obtain Licenses and Permits**: Handle all necessary state, and local legal paperwork.
8. **Establish Location and Operations**: Set up your physical or virtual office and systems.

4.3 Types of Business Plans

- **Traditional Plan**: Comprehensive, detailed documents often required by banks and investors.
- **Lean Startup Plan**: Highlights key elements (value proposition, partnerships, resources) and is best for fast-paced, iterative projects.

A solid business plan typically takes 3-6 weeks to develop

5.0 BUSINESS FEASIBILITY AND STRATEGY

Business feasibility and strategy involve assessing if a project is viable (practical, profitable, sustainable) and developing a roadmap to achieve goals. It transforms ideas into actionable plans by evaluating market demand, technical needs, and financial projections, reducing risk. Strategy focuses on competitive advantage and execution.

Business feasibility and strategy are the two essential pillars for turning a concept into a successful enterprise. While **feasibility** asks "Will this work?", **strategy** asks "How will we win?".

5.1 Key Components of Business Feasibility

- **Market Feasibility**: Analyzes market demand, target audience, industry competition, and sales potential.
- **Financial Feasibility**: Estimates startup costs, operating expenses, and projected revenue to determine profitability.
- **Technical/Operational Feasibility**: Assesses if the company has the necessary technical resources, skills, and, operational capacity, such as infrastructure.
- **Organizational/Legal Feasibility**: Evaluates internal management expertise and legal compliance (e.g., permits, regulations).
- **Market Feasibility**: Is there sufficient demand? Who are the target customers and competitors?.
- **Technical Feasibility**: Do we have the technology, infrastructure, and skills to build and deliver the product?.
- **Financial Feasibility**: What are the startup costs? Will the business generate a positive return on investment (ROI)?.
- **Operational Feasibility**: Can the organization sustain day-to-day operations with its current management and team?.
- **Legal Feasibility**: Does the project comply with zoning laws, data protection (e.g., NDPR), and other regulations?.

5.2 Strategic Planning Components

- **SWOT Analysis**: Identifies Strengths, Weaknesses, Opportunities, and Threats to inform decision-making.
- **Competitive Strategy**: Uses tools like Porter's Five Forces to analyze competition and determine market positioning.
- **Growth Strategy**: Defines long-term goals for market expansion, product development, and customer acquisition.

Feasibility Study vs. Business Strategy

- **Feasibility Study**: Asks "Can we do it? Should we do it?" to determine viability before investing resources.

- **Business Strategy:** Asks "How will we do it?" to create a roadmap for long-term success.

Steps for Implementation

1. **Preliminary Analysis:** Gather feedback to ensure the concept is solid.
2. **Detailed Market/Technical Study:** Analyze industry, competition, and logistics.
3. **Financial Projection:** Create a projected income statement and opening day balance sheet.
4. **Strategic Formulation:** Develop the business plan, defining the competitive edge.

2. Business Strategy: The Competitive Roadmap

Once an idea is proven feasible, strategy defines the long-term plan to achieve goals and stand out in the market.

- **Core Components of Strategy:**
 - **Vision & Mission:** Defining what the company stands for and its long-term destination.
 - **Competitive Advantage:** Identifying a Unique Selling Point (USP) that makes the product better than rivals.
 - **Target Market:** Focusing resources on a specific demographic or niche for maximum impact.
 - **Resource Allocation:** Deciding how to distribute limited people, technology, and capital to hit key objectives.
 - **Measurement (KPIs):** Establishing metrics like revenue growth or market share to track success.

Feasibility vs. Strategy (at a glance)

Feature	Business Feasibility	Business Strategy
Purpose	To determine viability (Can it work?)	To provide direction (How do we win?)
Timing	Conducted before a business plan	Developed once viability is confirmed
Focus	Assessing risks and "fatal flaws"	Growth, sustainability, and competition
Outcome	A "Go" or "No-Go" decision	A roadmap for daily operations

6.0 MARKETING STRATEGIES

A marketing strategy is a long-term, high-level blueprint designed to help a business achieve a sustainable competitive advantage by understanding customer needs and communicating a unique [value proposition](#). While a marketing plan details specific tactical actions and timelines, the marketing strategy focuses on the "big picture" goals, such as which markets to enter and how to position the brand against competitors.





Core Frameworks

Successful strategies are often built on established business models that ensure all aspects of the product and market are considered:

- **The 4 Ps (The Marketing Mix):** This classic framework covers Product (features and benefits), Price (cost to consumer), Place (distribution channels), and Promotion (advertising and PR). Many modern versions include a 5th P: People (employee and customer interactions).
- **Ansoff Matrix:** A growth strategy tool that categorizes efforts into four quadrants: Market Penetration (selling existing products to existing markets), Product Development (new products for existing markets), Market Development (existing products for new markets), and Diversification (new products for new markets).
- **SWOT Analysis:** A foundational exercise to identify internal Strengths and Weaknesses, alongside external Opportunities and Threats.

Common Modern Marketing Strategies

Businesses typically employ a mix of these strategies based on their goals:

- **Content Marketing:** Creating valuable, informative content (blogs, videos, podcasts) to establish authority and build trust without direct selling.
- **Inbound vs. Outbound:** Inbound focuses on "being found" by customers through SEO and social media, while Outbound involves reaching out directly through ads, cold emails, or trade shows.
- **Social Media & Influencer Marketing:** Engaging audiences on platforms like Instagram or LinkedIn, often by partnering with influencers who have established trust with a specific niche.
- **Email Marketing:** Nurturing leads and maintaining customer loyalty through personalized newsletters and automated "drip" campaigns.
- **Personalization:** Using data and AI to tailor messages and product recommendations to individual customer behaviors.

Key Components of an Effective Strategy

To move from a broad idea to an actionable strategy, businesses should define several critical elements:

1. **Target Audience:** Detailed buyer personas including demographics and psychographics (motivations/pain points).
2. **Unique Selling Proposition (USP):** A clear statement of what makes the brand better or different than competitors.
3. **SMART Goals:** Objectives that are Specific, Measurable, Achievable, Relevant, and Time-bound.
4. **KPIs (Key Performance Indicators):** Specific metrics to track, such as customer acquisition cost (CAC), return on investment (ROI), or conversion rates.

Definition

A marketing strategy is a comprehensive plan covering the four Ps of marketing: product, price, place, and promotion, and whose goal is to reach potential customers.

What Is a Marketing Strategy?

A marketing strategy can sway consumers to buy a particular company's products or services. It may include multiple marketing ideas for each of the firm's sectors or product lines. A marketing strategy contains the company's [value proposition](#), key brand messaging, and data on target customer demographics.

Key Takeaways

- A marketing strategy may include current or future marketing initiatives and detail a company's goals and timetables.
- The success of a marketing strategy can be quantified through metrics like the number of new customers, revenue, and sales.
- A marketing strategy may include advertising, outreach, and public relations campaigns.

Understanding Marketing Strategies

A clear marketing strategy should revolve around the company's value proposition. This communicates to consumers what the company stands for, how it operates, and why it deserves the customers' business. A well-constructed value proposition provides marketing teams with a template that should inform their initiatives across all of the company's products and services.

The ultimate goal of a marketing strategy is to achieve and communicate a sustainable [competitive advantage](#) over rival companies. To do this, a business must understand the needs and wants of its customers. Whether it's a print ad design, [mass customization](#), or a social media campaign, a marketing asset should effectively communicate a company's core value proposition.

For example, Walmart ([WMT](#)) is widely known as a discount retailer with “everyday low prices.” Low prices are its value proposition, so all its business operations and marketing efforts are rooted in that idea, which appeals to its core consumer base.¹ Its marketing strategies may be found on TV, in print, or on the accounts of social media influencers, but they all emphasize the same value proposition of low prices on everyday products.

Fast Fact

Many companies use [market research](#) to identify what is most important to consumers and how to differentiate their products or services from those of competitors. This information can be used to identify untapped audiences and develop a plan for reaching them, which will increase sales and improve a company's bottom line.

Marketing Strategies vs. Marketing Plans

The marketing strategy is outlined in the [marketing plan](#). This is a document that details the specific types of marketing activities a company will conduct in a given timeframe. It contains important information such as what the current and near-future marketing initiatives will be, how they will be conducted, what their goals are, and the timetables for enacting them. A company may have separate marketing initiatives for each of its products or services; it may also have multiple marketing initiatives for the same product or service that are implemented at different times or on different platforms.

Marketing strategies inform a business's marketing across many verticals and over a longer period. These strategies should ideally have longer life spans than individual marketing plans because they contain value propositions and other key elements of a company's brand, which generally hold constant over the long haul.

Important

Marketing strategies cover big-picture messaging, while marketing plans delineate the logistical details of specific campaigns.

For example, a marketing strategy might say that a company aims to increase authority in niche circles where their clients visit. The marketing plan puts that into action by commissioning thought leadership pieces on LinkedIn.

How to Create a Marketing Strategy

Creating a thoughtful and effective marketing strategy requires several steps.

Identify Goals

While sales are the ultimate goal for every company, a marketing strategy can also include short-term goals such as:

- Establishing authority
- Increasing customer engagement
- Generating leads

These smaller goals offer measurable benchmarks for the progress of your marketing plan. Think of strategy as the high-level ideology and planning as how you accomplish your goals.

Create a Customer Profile

Every product or service has an ideal customer, and you should have a profile outlining what you know about yours. It can include:

- Who they are
- What they are most interested in
- What problems they want to solve
- What is holding them back from solving those problems
- What solutions your competitors offer them
- What types of media are ideal for reaching them

If you sell power tools, for example, you'll choose marketing channels where general contractors may see your messaging. This could be TV ads, or it might be social media accounts focused on home renovation and DIY.

Develop a Message

Now that you know your goals and who you're pitching to, it's time to create your message. Your clients have a problem that needs to be solved and something that is standing in the way of that solution. Your marketing message needs to communicate how your product or service will solve their problem and improve their lives.

This is also when you differentiate your solution from the one provided by your competitors and show how it's the best option for your customers.

Define Your Budget

How you disperse your messaging may depend on how much you can afford. Will you be purchasing advertising? Working with thought leaders or influencers? Hoping for a viral moment on social media organically? Sending out press releases to the media to try to gain coverage?

Your budget will dictate what you can afford to do.

Select Your Channels

Even the best message won't work unless it is communicated through the appropriate medium. Selecting the best channel for your marketing efforts will depend on who your customers are, who they trust, what types of media they consume, and what budget you have to work with.

Some companies may find the most value in creating blog posts for their website. Others may find success with paid ads on social media channels. Find the most appropriate venue for your content.

Track Measurable Benchmarks

To target your marketing, you need to know whether it is reaching its audience. Determine your metrics and how you'll judge the success of your marketing efforts. Make sure these are clearly defined and measurable. For example, you may decide to track:

- New leads
- Customer signups
- Revenue
- Sales of an individual product
- Social media followers
- Customer retention
- New accounts opened

Which metrics you track will depend on the goals of your marketing campaign and the type of business you are running.

Explain Like I'm Five

A marketing strategy is a plan by a company or organization to reach prospective customers and persuade them to buy its products. As part of its marketing strategy, a business will identify its target customers, determine what those customers want, and engage with those customers through advertisements and promotions. An effective marketing strategy will focus on a specific goal, like increasing sales or raising brand awareness.

What Do the 4 Ps Mean in a Marketing Strategy?

The [four Ps](#) are product, price, promotion, and place. These are the key factors that are involved in the marketing of a good or service. The four Ps can be used when planning a new business venture, evaluating an existing offer, or trying to optimize sales with a target audience. They can also be used to test a current marketing strategy on a new audience.

What Does a Marketing Strategy Look Like?

A marketing strategy will detail the advertising, outreach, and public relations campaigns to be carried out by a firm, including how the company will measure the effect of these initiatives. The functions and components of a marketing plan include market research, tailored messaging that targets certain demographics and geographic areas, platform selection, and metrics that measure the results of marketing efforts and their reporting timelines.

Is a Marketing Strategy the Same As a Marketing Plan?

The terms “marketing plan” and “marketing strategy” are often used interchangeably because a marketing plan is developed based on an overarching strategic framework. The plan outlines marketing activities on a monthly, quarterly, or annual basis, while the marketing strategy outlines the overall value proposition. In some cases, the strategy and the plan may be incorporated into one document, particularly for smaller companies that may only run one or two major campaigns in a year.

The Bottom Line

Companies need to sell their products and services to generate revenue and put them on the path of being a successful business. To sell their products or services, they have to let consumers know of them. They must also convince consumers to buy them as well as convert consumers from competitors. Having a marketing strategy that outlines this process and more is a crucial step in converting consumers into customers.

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BUSINESS ETHICS AND LEGAL ISSUES

Business ethics and legal issues dictate how companies operate, covering moral principles (fairness, honesty) and legal regulations (labor laws, IP rights). Ethical behavior, such as avoiding corruption and ensuring product safety, prevents lawsuits, scandals, and reputational damage, while legal compliance provides the minimum standard for safe operation.

Key Ethical Issues in Business

- Conflicts of Interest: Prioritizing personal gain over company interests.
- Unfair Treatment: Discrimination, harassment, or unsafe conditions.
- Lack of Integrity: Misleading advertising, dishonest financial reporting, and cheating.
- Environmental Impact: Unethical waste disposal or pollution.
- Intellectual Property Abuse: Patent, copyright, or trademark infringement.

Common Legal Issues in Business

- Employment Law: Workplace discrimination, wage violations, and labor issues.
- Contractual Disputes: Failure to honor business agreements.
- Intellectual Property (IP): Disputes over trademarks, patents, and copyright misuse.
- Data Privacy: Violations of personal privacy regulations and security breaches.
- Corruption/Bribery: Illicit activities like money laundering or fraud.

Intersections and Consequences

- Law vs. Ethics: A business action can be legal but unethical (e.g., exploiting a legal loophole) or illegal (e.g., breaking anti-trust laws).
- Consequences: Unethical or illegal practices often result in lawsuits, fines, damaged reputation, and loss of consumer trust.

- Solutions: Companies should adopt a code of ethics, conduct, and promote transparency.

Commonly cited ethical principles include compassion, fairness, and loyalty to employees and stakeholders.

While business ethics and legal issues are closely related, they are distinct concepts that guide how a company operates. Legal issues involve complying with written laws and regulations, while business ethics refer to the moral principles that define right and wrong behavior beyond what is legally mandated.

Key Differences

Feature	Legal Issues (Law)	Business Ethics
Source	Written statutes, government regulations, and court precedents.	Unwritten moral principles, societal norms, and company values.
Enforcement	Government entities, police, and the court system.	Internal codes of conduct, professional bodies, and social pressure.
Consequences	Fines, lawsuits, and potential incarceration.	Damaged reputation, loss of customer trust, and decreased employee morale.

Common Ethical & Legal Issues in Business

1. **Discrimination and Harassment:** Treating employees unfairly based on race, gender, or age is both an ethical failure and a violation of labor laws like those enforced by the Equal Employment Opportunity Commission (EEOC).
2. **Financial Integrity and Accounting:** Fraudulent reporting or "creative accounting" to mislead investors is a major legal crime (e.g., the Sarbanes-Oxley Act) and a breach of professional integrity.
3. **Data Privacy and Security:** Beyond following data laws like GDPR, businesses face ethical dilemmas regarding how they monetize consumer data and obtain informed consent.
4. **Environmental Responsibility:** Companies must comply with waste disposal laws but are ethically pressured to adopt sustainable practices that go beyond minimum legal requirements to mitigate climate impact.

5. Intellectual Property (IP): Protecting and respecting patents, trademarks, and copyrights is a critical legal area managed by agencies like the U.S. Patent and Trademark Office (USPTO).
6. Whistleblowing: Protecting employees who report misconduct is a legal requirement in many jurisdictions and a core ethical value for maintaining a healthy corporate culture.

Managing Compliance and Ethics

- Code of Ethics: Establish a clear, written statement of the organization's values and expectations for behavior.
- Ethical Leadership: Leaders should set the "tone at the top" by prioritizing integrity over short-term profits.
- Regular Training: Provide employees with scenarios and guidance on how to navigate complex ethical dilemmas.
- Compliance Officers: Designate dedicated teams to monitor and audit adherence to both legal regulations and internal policies.